



Guest Editorial

Project benefits management: Making an impact on organizations and society through projects and programs

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1. Introduction

Projects and programs aim at making a positive impact on organizations and society, for example economic, social, and environmental impacts on key stakeholders (Huemann, 2022; Martinsuo, 2020; Pinto et al., 2022; Eskerod & Huemann, 2024). Such an impact requires the realization of benefits, for example increased market competitiveness and increased the quality of health services. Therefore, benefits are the “principal reason why an organization may seek to enact change through programmes and projects” (Williams et al., 2020, p. 644).

This paper focuses on understanding how a positive impact can be made from projects and programs through an effective project benefits management process. Research on project benefits management enriches our understanding of the management of projects, particularly as it relates to key project decisions such as the setting of long-term project goals, the appraisal of a project's business case, the design of the project governance structure, the engagement with stakeholders, project monitoring, and success evaluation, to name just a few. In practice, project benefits management has informed key methodologies (e.g., the ‘Green Book’ in the UK) and created new organizational roles (e.g., the ‘Project Owner’ in the private sector and the ‘Senior Responsible Owner’ in government).

This virtual collection and Editorial aim to enhance our knowledge of project benefits management by: (1) providing examples of previously published papers that demonstrate the breadth of the field and make inspiring contributions (Zerjav et al., 2023), (2) analyzing the recent theoretical developments and major trends in the field, and (3) providing a framework for future research.

Inclusion criteria for this virtual collection required that the paper: (1) was published in the *International Journal of Project Management* (IJPM) in the past 10 years, (2) includes in its title one of the following terms: ‘benefit management’, ‘benefits management’, ‘benefit realization’, or ‘benefits realization’ in either the US or the UK spelling options, and (3) is a full research paper, i.e. excluding call-for-papers and Editorials. This search resulted in 14 papers that met all the criteria. Refining the results, we limited the number of papers per author to two, with a preference to select the most recent work, and removed papers

that added little to knowledge on project benefits management. As a result, we ended up with seven papers for this virtual collection that are summarized in Table 1.

Next, we analyze the IJPM papers included in this special collection, as well as key papers on project benefits management published elsewhere, based on the following themes: (1) The differences between ‘impact’, ‘value’, ‘outcomes’ and ‘benefits’, (2) The accountability for project benefits management, (3) The project benefits management process, (4) Enablers and inhibitors of project benefits management implementation, and (5) A framework for future research.

2. The differences between impact, value, outcomes and benefits

The terms ‘impact’, ‘value’, ‘outcomes’ and ‘benefits’ are sometimes used interchangeably (Laursen & Svejvig, 2016). This has caused much confusion in our literature that already suffers from ill-defined terminology (Zwikael & Meredith, 2018). This section aims to clarify the differences between these terms. Yet, it is important to first note that all these terms collectively represent a shift in project management research from the focus on outputs delivered during the project to its long-term effects.

A major consideration in the appraisal of project proposals, as well as in the evaluation of their success, is the *impact* they make on and the *value* they create for its funding (i.e., financial sponsor) organization(s) and its stakeholders (Pinto et al., 2022), for example, economic, social, ecological, technical, and symbolic value (Martinsuo, 2020). Project value is defined as the net worth of a project to its funding organization and its stakeholders, perceived as the difference between its benefits, disbenefits and life-cycle cost (e.g., output development, operating, and decommissioning costs) (Zwikael & Smyrk, 2012; Laursen & Svejvig, 2016; Martinsuo et al., 2019; Lazzarini, 2020). For example, the value created from a new software development project is the difference between its benefits (e.g., decreased processing time and increased customer satisfaction), its disbenefits (e.g., increased risks of security breaches) and its life-cycle cost (e.g., project development cost and system maintenance cost).

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Table 1

Papers included in the special collection (by publication year).

Reference	Methods	Context	Benefits management focus
Breese et al. (2015)	Literature review and practical experience of the authors	Generic	The history of project benefits management; project benefits management processes and practices
Badewi (2016)	A survey of 200 organizations	Generic	Project benefits management processes and practices; the accountability for project benefits management
ul Musawir et al. (2017)	A survey of 333 projects	Generic	Project governance; the accountability for project benefits management; project benefits management processes and practices
Terlizzi et al. (2017)	4 case studies and a survey of 186 professionals	IT projects in Brazilian financial institutions	Enablers and inhibitors of project benefits management implementation; project benefits management processes and practices
Zwikael et al. (2018)	15 interviews and a survey of 132 managers	Generic	Project benefits management processes and practices; the accountability for project benefits management
Marnewick and Marnewick (2022)	9 interviews of senior managers	IT projects using Agile	Enablers and inhibitors of project benefits management implementation; project benefits management processes and practices
Alade et al. (2022)	An in-depth case study	Transport projects	The differences between 'value', 'outcomes' and 'benefits'; project benefits management processes

This definition of 'value' further resolves another unclear terminology in the literature, where the term 'outcome' is also used interchangeably with the term 'benefit' (Williams et al., 2020). Whereas both outcomes and benefits are measurable end effect of the project (Breese, 2012; Zwikael & Smyrk, 2019; Williams et al., 2020; Alade et al., 2022), we can now distinguish between desirable outcomes ('benefits') and undesirable outcomes ('disbenefits'). In other words, benefits are only one type of project outcomes, such that benefits are desirable outcomes and disbenefits are undesirable outcomes generated from a project or program. Both benefits and disbenefits can be either anticipated (i.e., set in the business case) or unanticipated (i.e., emerge unplanned during project execution or following its completion). Based on the analysis above, Table 2 suggests formal definitions to key terms.

Fig. 1 further illustrates these terms while highlighting three processes that link key constructs (outputs, outcomes, and value) that are required to make a positive impact through projects: (1) Output utilization is the process where project outputs (e.g., a new information system) are utilized by the end-users (e.g., employees) to realize project outcomes, i.e. both benefits (e.g., decreased processing time) and (sometimes) disbenefits (e.g., increased risks of security breaches). A lack of an effective output utilization process often ends up with no benefits being realized from the project (Zwikael & Smyrk, 2019); (2) Value creation is the process where the project value (positive or negative) is created for its stakeholders based on its outcomes (benefits and disbenefits) and life-cycle cost, and (3) Value distribution is where stakeholders experience the value created from the project (Gil, 2023). This process is essential to ensure the project makes a positive impact on organizations and society. Altogether, the four constructs linked

Table 2

Definitions of key terms in benefits management of projects and programs.

Term	Definition	Comment
Output	An artifact produced through the execution of a project or program.	A project may have one or more outputs.
Life-cycle cost	The financial and non-financial costs required to develop, operate and decommission the output(s) of a project or program.	These costs arise for the project owner, operator and other stakeholders.
Outcome	A measurable end effect generated from a project or program for its funding organization(s) and its key stakeholders.	Outcomes can be desirable or undesirable, as well as anticipated or unanticipated.
Benefit	A desirable outcome generated from a project or program.	Benefits can be both financial and non-financial, as well as both anticipated and unanticipated.
Disbenefit	An undesirable outcome generated from a project or program.	Disbenefits can be both financial and non-financial; can be both anticipated and unanticipated.
Value	The net worth of a project or program to its funding organization and its key stakeholders.	Value is perceived as the benefits realized from a project, after also considering the disbenefits and life-cycle cost.
Impact	The effect on project stakeholders directly attributable to the value created from a project or program and distributed to its stakeholders.	Impact can be positive or negative; can occur anytime from immediately after project completion until after a long lead time.

together create the Outputs-Outcomes-Value-Impact (OOVI) model for making an impact through projects, illustrated in Fig. 1.

3. The accountability for project benefits management

To make a positive impact, an effective management approach is required. Accordingly, the analysis of the literature shows that the term 'benefits management' is widely used (e.g., Badewi, 2016; Badewi & Shehab, 2016; Breese et al., 2015; ul Musawir et al., 2017; Terlizzi et al., 2017; Zwikael et al., 2018), although the term 'benefits realization' is also mentioned (e.g., Coombs, 2015; Dupont & Eskerod, 2016; Breese et al., 2020; Marnewick & Marnewick, 2022). Whereas the term 'realization' represents the consequence of the benefits management process, we hereafter use the term 'benefits management' to focus on what is required from project leaders to do to ensure a positive impact from the project. The objective of the benefits management process is to ensure that anticipated project benefits are actually realized (Breese, 2012; Coombs, 2015; Badewi & Shehab, 2016) "to create value in a meaningful and sustainable manner" (ul Musawir et al., 2017, p. 1660).

Benefits management captures the set of processes of organizing (Breese, 2012; Coombs, 2015; ul Musawir et al., 2017) "from the point that [benefits] were identified in the business case to the point where they are perceived as actual benefits" (Marnewick & Marnewick, 2022, p. 455). More specifically, benefits management involves the "initiating, planning, organizing, executing, controlling, transitioning and supporting of change in the organization and its consequences" (Badewi & Shehab, 2016, p. 415).

The benefit management practice that has the greatest impact on project success is assigning accountability for the project benefits management (Badewi, 2016). Principal-Agent Theory suggests that whereas project managers (as agents) hold the accountability for output delivery, they should not also hold the accountability for benefits management because: (1) the principal (i.e., funding) and agent (i.e., delivery) entities often have different objectives from the same project; (2) project managers hold a transient position – to which the attachment of long-term accountabilities may be highly inappropriate; (3) project managers are rarely involved in setting the anticipated benefits because they are often not appointed until project approval (Zwikael &

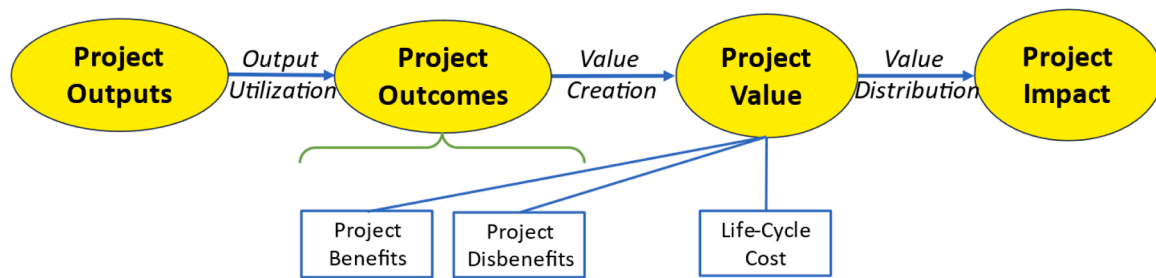


Fig. 1. The Outputs-Outcomes-Value-Impact (OOVI) model.

Meredith, 2018).

Accordingly, the literature suggests a ‘project owner’ should be accountable for managing the benefits from the project business case and ensuring a (financial and non-financial) return on investment from the project (Badewi, 2016; Zwikael & Smyrk, 2012). Alternative titles for this role include ‘project sponsor’ (Winch & Cha, 2020) and ‘Senior Responsible Owner’ (Breese et al., 2015), defined by the UK government as “the individual responsible for ensuring that a project or program of change meets its objectives and delivers the projected benefits” (Office of Government Commerce, 2009, p. 218). As an extension to this role, the term ‘project owner organization’ (Winch & Cha, 2020) refers to the organization where the (individual) project owner is employed, e.g., the entity that funds the project and sets its anticipated benefits.

Badewi (2016) suggests that “the capabilities of the project owner are a determinant factor in recouping the expected benefits from projects” (p. 764) and calls for the role to be clarified. Accordingly, based on Role Theory, Zwikael et al. (2019) propose 22 key responsibilities for the project owner. Dupont & Eskerod (2016) further argue that based on their detailed knowledge about operational processes, line managers can be effective project owners. To demonstrate the importance of the individual accountability for benefits management, all Senior Responsible Owners in the UK government are required to sign a letter agreeing to assume this accountability (Williams et al., 2020).

4. The project benefits management process

The benefits management process supports the project owner with mechanisms of control (Terlizzi et al., 2017). The most significant motivations to undertake such a benefits management process are the growing need to show value for money and the desire to align project benefits with organizational strategic objectives (Williams et al., 2020). Therefore, like the importance of a project manager following a clear project management process, the project owner should pursue a well-defined benefits management process. A formal benefits management process was found to positively affect project success (Badewi, 2016; ul Musawir et al., 2017; Williams et al., 2020; Marnewick & Marnewick, 2022), especially when it is well-aligned with the project management process (Badewi, 2016). The literature has proposed a few models for the structure of the benefits management process. The major phases of these models are summarized in Table 3, with indication where the proposed phase is covered in each key reference as part of its project benefits management process.

Table 3
Project benefits management phases.

Reference	Setting	Planning	Monitoring	Realizing
Ward and Daniel (2012)	+	+	+	+
Breese et al. (2015)		+	+	+
Badewi and Shehab (2016)	+	+	+	+
Williams et al. (2020)	+	+	+	+
Marnewick and Marnewick (2022)	+	+		+
Alade et al. (2022)	+	+		+

An analysis of the various models in Table 3 suggests four project benefits management processes: (1) Setting target (i.e., anticipated) benefits (also referred to as benefits identification), is where target benefits are set, integrated into a business case (or project proposal) and approved by the project funder, (2) Planning (also referred to as strategy), is where a plan to realize the target benefits is developed by the project owner, (3) Monitoring (also referred to as tracking and reviewing), is where the benefits are regularly evaluated by the project owner and the steering committee during project execution to ensure they are on track for successful realization, and (4) Realizing (also referred to as implementation, execution, delivery, exploitation, handover to operations, output utilization, and sustainment) is where benefits realization is being secured, the operations of the project outputs are handed over to the relevant line manager, and the project is completed.

The benefits management process proposed in Table 3 extends the traditional project’s life through its major emphasis on two key phases: (1) The project front-end phase, where target benefits are set in the business case and formally approved by the project funder, and (2) The realizing phase, where following output delivery, the benefits still need to be managed until they are realized (or at least secured). For example, in a project constructing a pedestrian bridge over a busy road nearby a school, this phase could include temporary bridge supervision by parents and teachers for the first days or weeks after the construction of the bridge has been completed. This supervision is required for an effective output (i.e., bridge) utilization process. Only once a change of behavior is noticed (i.e., the students make it their new habit to use the bridge rather than cross the road), only then the benefits are secured. This means that it then becomes highly likely that the benefits (e.g., reduced number of accidents) will flow into the future because all students use the bridge regularly. Therefore, the project can be considered as completed, and the responsibility for the bridge can be transferred to the road maintenance department.

Benefits management specific practices include the development of a business case, selection of a project owner, and regular monitoring of the benefits throughout project execution (Badewi, 2016). Analyzing the impact of 12 key benefits management practices on project success, Serra and Kunc (2015) found that the most effective practices are (1) the setting of effective target benefits in the business case, (2) target benefits are clearly defined, and (3) the value created is measurable. Similarly, Williams et al. (2020) found evidence of a strong focus in practice on benefits setting at the project front end phase when seeking project approval, but also deterioration in the focus on benefits management as the project progresses towards close-out and transitioning to operations.

5. Enablers and inhibitors of an effective project benefits management process

The literature has also been occupied with identifying enablers and inhibitors of an effective project benefits management process. Table 4 summarizes this literature by identifying the most common enablers and inhibitors. The analysis of this table suggests that there is consensus in the literature on the inhibitors of successful implementation of a benefits management process. These include a lack of interest of senior managers

Table 4

Enablers and inhibitors of an effective project benefits management process.

Enabler/inhibitor	Factor	References
Enablers that support a successful benefits management process	Organizational culture	Coombs, 2015; Williams et al., 2020
	Top management support	Marnewick & Marnewick, 2022; Williams et al., 2020
	Training	Coombs, 2015
	Bonuses linked to benefits realization	Terlizzi et al., 2017
	Project Management Office developing an organisational benefits management process	Terlizzi et al., 2017
Inhibitors of successful implementation of a benefits management process	Lack of interest by senior managers in benefits with a long lead time	Breese et al., 2015; Coombs, 2015; Terlizzi et al., 2017; Williams et al., 2020
	Lack of a benefit-driven culture	
	Poor understanding of benefits management	

in benefits that will be realized only after they complete their current role, lack of a benefit-driven culture in the organization, and poor understanding of how benefits should be set, measured, and managed.

The literature on enablers that support a successful benefits management process suggests that an effectiveness benefits management process is mainly determined at the organizational level, as it is dependent upon organizational culture, awareness, support, reward, and incentive schemes for benefits realization. This means that a successful benefits management process (e.g., making a positive impact) requires more organizational involvement than what is needed for a successful project management process (e.g., delivering outputs efficiently).

6. A framework for future research

The project benefits management literature, although a relatively young discipline, has made much progress. Supported by rapid development in practice, scholars have stepped up to better understand the objectives, roles, processes, and accountabilities related to benefits management. This research has provided project management with a long-term strategic viewpoint that can be better associated with other literatures, such as strategy management, change management, stakeholder management, and operations management.

Ideas for future research suggested by papers analyzed above could enhance our understanding of the project benefits management process by raising key research questions. For example, at the individual level, researchers can study the roles of project leaders (e.g., project managers, sponsors, and project owners): (1) How can project leaders enhance the motivation of senior executives to engage with their projects? (Breese et al., 2015; Terlizzi et al., 2017; Marnewick & Marnewick, 2022), (2) How can project leaders enhance stakeholder engagement and collaboration through the benefits management process? (Alade et al., 2022), (3) How can project leaders better integrate sustainable and green project management into the benefits management process? and (4) How can project leaders ensure effective output utilization, value creation and value distribution processes (see Fig. 1)?

At the organizational level, important research questions to be explored include: (1) How can organizations develop an organizational culture focused on project value creation? (Breese et al., 2015; Terlizzi et al., 2017; Marnewick & Marnewick, 2022), (2) How can organizations ensure their project benefits management process creates and distributes project value effectively? (ul Musawir et al., 2017), (3) How should organizations integrate better the benefits management process into the project, program, and portfolio management processes? (Breese et al., 2015; Badewi, 2016), (4) Should organizations appoint a single project

owner, or should benefits accountabilities be distributed among multiple benefits owners? (Badewi, 2016), and (5) Should multiple organizations co-funding a project appoint a single agreed-upon project owner in addition to each organization maintaining its own project owner?

Declaration of Competing Interest

The authors declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper.

Acknowledgments

The authors would like to thank Miia Martinsuo, Jack Meredith, Ashkan Zarghami, and Zhiwen Zheng for their comments on earlier drafts of this paper.

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